

structure to your outgoings does, at least, create a little bit of stability and awareness of your financial situation, and will enable you to plan.

Exercise: Make a plan for your debt

If you have debt, whether it's causing you stress and worry or not, the key to keeping it under control, and in turn ensuring that it doesn't have a negative impact on your financial wellbeing – because it really doesn't have to, no matter what anyone might tell you – is to have a plan.

If your debt is a financing plan or loan, where the term and monthly repayments are agreed at the beginning of the arrangement, your plan might be fairly simple. Just make sure you're aware of:

- What the interest rate is.
- How much your repayments are.
- When they are due to leave your account.
- When your last repayment is, and whether there's a balloon payment (this means that your final repayment is for a larger amount than your monthly payments, and is popular with things such as PCP car finance agreements).
- Where you're going to redirect that income once the term is over.

Make all of this information readily available in a spread-